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Contents

Recap of the Healthcare Capital Markets & Innovation Summit

PitchBook is a Morningstar company providing the most comprehensive, most accurate, and hard-to-find data for professionals doing business in the private markets.

Key takeaways

- The healthcare PE deal landscape continues to face challenges, though green shoots in the IPO market and increased exits in recent quarters are positive signs. At HCMIS, we heard that "all the '-ologies' have stabilized," a contention supported by PitchBook data.

- While panelists were hesitant to identify top categories amid a tougher deal environment, RCM, infusion, medspa, behavioral health, and home-based care came up in multiple panel sessions. More broadly, we heard that "leadership matters more than subsector" for investment selection.

- Headlines about the regulatory scrutiny of PE in healthcare have somewhat subsided, though regulatory action continues to evolve at the state level. Most recently, Oregon passed the nation's toughest restrictions on PE investment in healthcare.[1]

- Valuations are down from their peaks, but that does not mean bidding wars are a thing of the past. Investors continue to chase A-level assets, leading to premium multiples, while demand for B and C assets has waned.

- Space is healthcare's new frontier. An intriguing presentation by Dr. John Horack from the Ohio State University made a convincing argument that near space will be a key lab environment for launching a new generation of healthcare innovation.

- While General Catalyst's acquisition of Ohio-based Summa Health was a major talking point at last year's conference, it received far less attention this time around. Nonetheless, the firm continues to push the boundaries of the traditional VC model; it has expanded into wealth management and is reportedly exploring an IPO.

1: "Oregon Bill to Block Private-Equity Medical Deals Heads to Governor's Desk," The Wall Street Journal, Chris Cumming, May 29, 2025.

Introduction

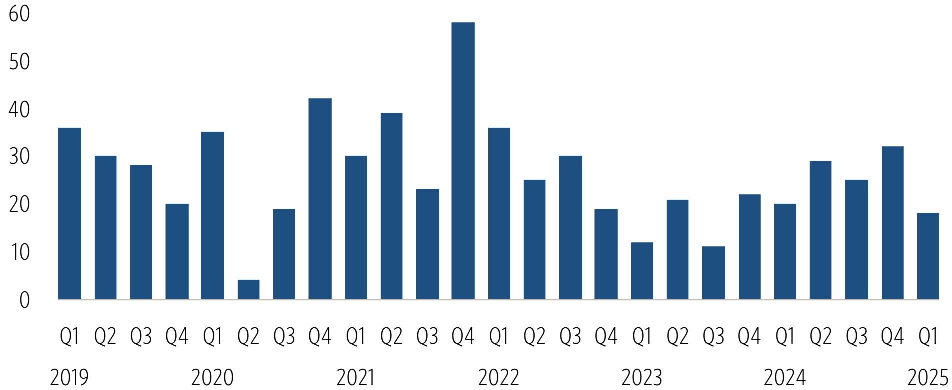
The fifth Healthcare Capital Markets & Innovation Summit (HCMIS), presented by Lawrence, Evans & Co., took place in Columbus, Ohio, on May 28 and 29. The event drew approximately 300 attendees—including bankers, lenders, investors, founders, and service providers—primarily from the Midwest, with additional representation from across the US. PitchBook contributed to the agenda with two presentations focused on healthcare and broader market trends. Other key panel topics included value-based care (VBC) models, return on investment (ROI) strategies in physician practice management (PPM), behavioral health M&A, and investment opportunities in rural healthcare. Blackmore Partners, NLC Health Ventures, Veritas Capital, Trinity Forest Partners, RC Capital, and McCarthy Capital were among the PE sponsors represented at the conference.

Deal outlook

Our Q1 2025 Healthcare Services PE Update highlighted the challenging start to the year for healthcare PE dealmaking, with Q1 dealmaking below already modest expectations. Currently, the deal landscape is defined by high macroeconomic uncertainty, renewed interest rate volatility, and market disruptions following "Liberation Day" tariff announcements. Despite these challenges, PE exits have hit their highest level since 2022, partly driven by longer holding times and IPO tailwinds. Sycamore Partners' $10 billion take-private of Walgreens stands out as the largest recent buyout.

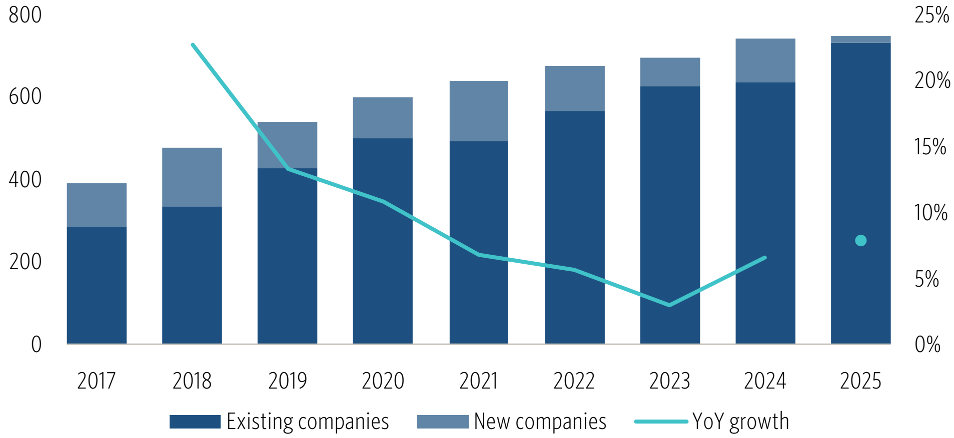
The home-based care, dental, and musculoskeletal (MSK) subsectors have driven overall activity; MSK in particular shows promise as an emerging cost-containment focus. Valuations in premium segments such as VBC and behavioral health have normalized, offering more attractive entry points—though continued headwinds, particularly in retail pharmacy and hospital operations, suggest dealmaking will remain constrained unless market conditions improve substantially. Meanwhile, nonprofit hospital margins have started to recover, and publicly traded healthcare services companies outperformed major indexes in Q1, thanks in part to their lower exposure to tariffs.

Healthcare services PE platform buyout count by quarter



Source: PitchBook • Geography: US and Canada • As of March 31, 2025

Healthcare services PE company inventory since 2017



Source: PitchBook • Geography: US and Canada • As of March 31, 2025

Quick takes

AI

AI continues to shape the healthcare sector, influencing both venture and PE funding and new tech adoption. In Q1, AI-driven startups accounted for over 70% of all VC deal activity, offering key innovations in diagnostics, precision medicine, medical imaging, care navigation, and clinical documentation. Notably, ambient scribe leader Abridge is rumored to be raising hundreds of millions of dollars at a valuation exceeding $5 billion.[2]

2: "Abridge in Talks to Raise at $5 Billion Valuation as AI Health Startups Draw Investors," The Information, Stephanie Palazzolo, Natasha Mascarenhas, and Sri Muppidi, May 20, 2025.

While current enthusiasm reflects the broader AI hype cycle, many healthcare AI applications predate the current AI wave. In the middle market, AI has fueled investment in healthcare IT and pharma services, sectors that are seeing more PE deal activity than the labor-intensive healthcare services sector. At HCMIS, a panel on AI in healthcare surfaced critical legal and ethical questions, including the idea that inappropriate AI use may constitute malpractice. One panelist proposed a future where AI becomes the standard of care, raising the possibility that not using AI could be grounds for liability. For a deeper dive into AI in the healthcare sector, refer to our 2025 AI Healthcare & Life Sciences Snapshot published earlier this year.

Medspa

Wellness and longevity are having a moment, with medical aesthetics, particularly medspa, consistently a top category in healthcare investing. At HCMIS, there was buzz that dermatology has become the "it" career path for aspiring specialists, a trend echoed by recent Wall Street Journal coverage.[3] The strong influx of high-quality practitioners will likely shape long-term sector dynamics, suggesting that medical aesthetics is more than a passing trend. This is underscored by sustained consumer demand; broadening service offerings; and growing investor interest in high-growth, high-profit recurring revenue models. Since the start of 2024, there have been 82 PE deals in medical aesthetics and dermatology, representing over 7% of all PE healthcare transactions in the US and Canada—a significant share for what was once considered a niche in the industry.

PPM

A standout panel at HCMIS was a discussion on ROI for PPMs. The panel featured company representatives from Equity, RSM US, Conifer Capital Partners, and Dykema and was moderated by Jenny Watson from Cain Brothers. Key takeaways from this discussion mirrored conclusions that surfaced throughout the conference:

Even with the increase in partial exits, more than 60% of PE investors still want to see conventional full exits, even at lower valuations.

- Creative liquidity pathways are on the rise, ranging from partial exits and secondaries to continuation funds and dividend recaps. Even with the increase in partial exits, more than 60% of PE investors still want to see conventional full exits, even at lower valuations.[4]

- Multiples have come down in PPMs, though stubborn gaps between buyers and sellers remain.

- Earnouts are becoming more common to get deals across the finish line. However, they are not always a win for independent sellers, which may now have to wait on both equity and earnouts to fully cash out.

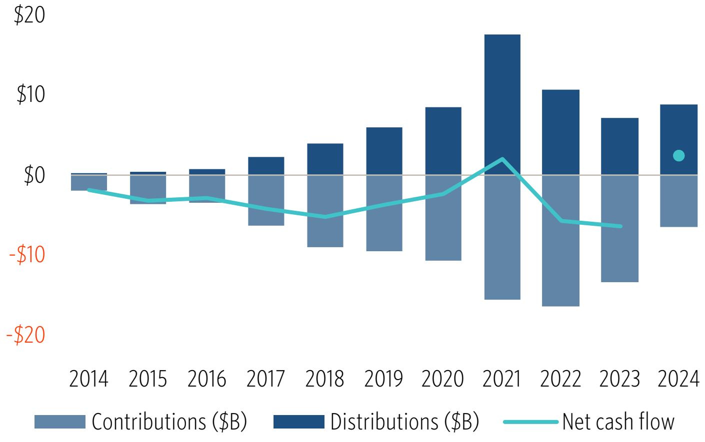
- Secondary buyers are becoming more sophisticated, increasing the potential for secondary-driven liquidity for more complex business models.

- The worst-case scenario for global markets appears to be off the table. Despite a turbulent first half of the year, exits will likely pick up in the coming months, driven by still-extended holding times across much of PE healthcare.

3: "$500,000 Pay, Predictable Hours: How Dermatology Became the 'It' Job in Medicine," The Wall Street Journal, Te-Ping Chen, November 18, 2024.
4: "Private Equity Adapts as Trump Tariffs Reshape Global Dealmaking Landscape," Private Equity Insights, n.d., accessed June 3, 2025.

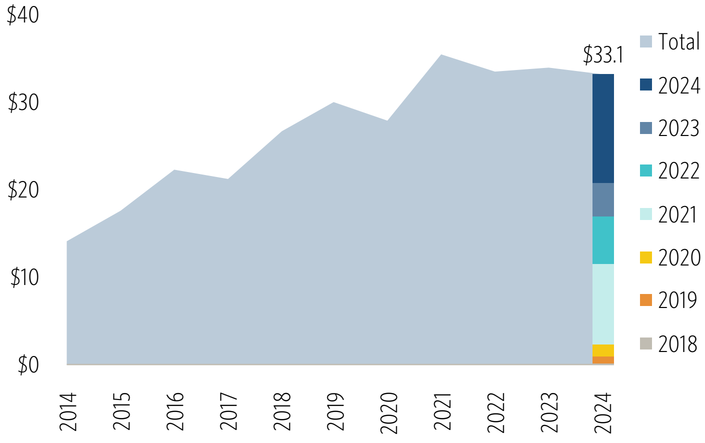
Appendix

Healthcare specialist PE cash flows ($B)



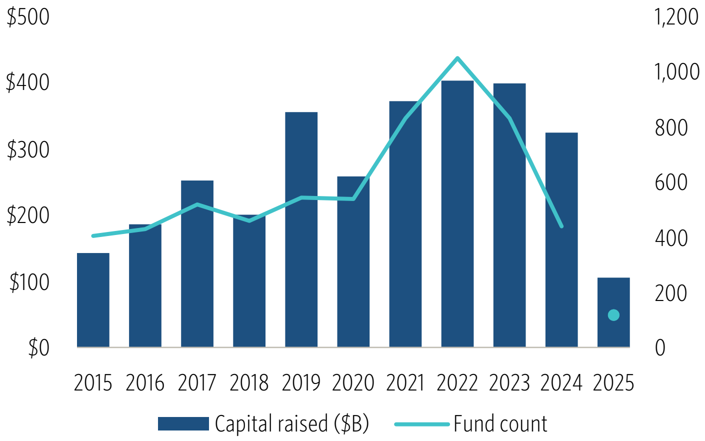
Source: PitchBook • Geography: US • As of September 30, 2024

Healthcare specialist PE dry powder ($B)



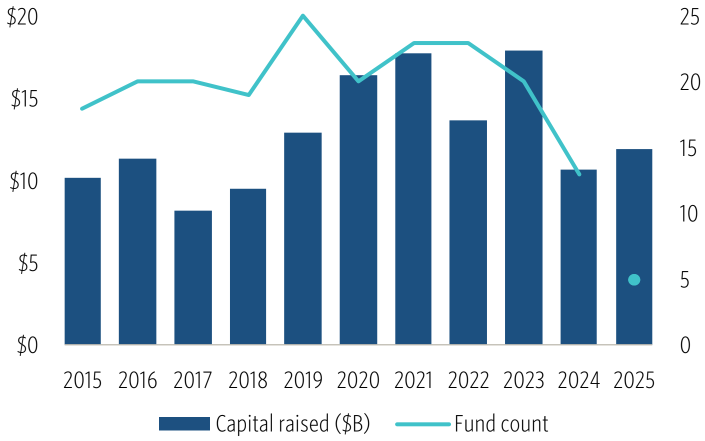
Source: PitchBook • Geography: US • As of September 30, 2024

PE fundraising activity



Source: PitchBook • Geography: US • As of May 23, 2025

Healthcare PE fundraising activity



Source: PitchBook • Geography: US • As of May 23, 2025